26900174 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (Honours)/ MGU-BBA (Honours)/ MGU-BCA (Honours)

REGULAR EXAMINATION October 2026

Fifth SEMESTER

Discipline Specific Core Course (DSC) - MG5DSCECO301 - INTERNATIONAL ECONOMICS

(2024 ADMISSION ONWARDS)

Duration: 2 hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. International Economics deals with ..... [K] / [CO1]

   a). Export and Import of goods b). Export and Import of Services

   c). Inflow and Outflow of Capital d). All of the above

2. Who developed the Comparative Advantage Theory? [K] / [CO1]

   a). Adam Smith b). David Ricardo

   c). Thomas Mun d). Alfred Marshall

3. If the sum of the elasticities of demand for export and import is less than one, devaluation may: [U] / [CO2]

   a). Improve the trade balance immediately b). Have no effect under all conditions

c). Worsen the BOP d). Eliminate imports completely

4. Which rate is related to immediate currency exchange? [K] / [CO3]

a).Forward rate b).Backward rate c).Spot rate d). Interest rate

5. A person who buys a currency expecting its value to rise, in order to sell it later at a profit, is called a: [U] / [CO3]

a).Hedger b).Speculator c).Banker d).Regulator

6. Which statement gives the most appropriate economic assessment of a prolonged trade war? [E] / [CO4]

a). It always benefits all countries b). It can reduce efficiency and increase trade costs

c). It has no effect on consumers d). It automatically increases world trade

7. Free trade is mainly supported because it allows countries to [K] / [CO4]

a). Avoid trading with other countries b). Protect all domestic industries c). Increase government control over trade d). Specialise and gain from trade based on comparative advantage

8. Which of the following is a major function of the World Bank? [U] / [CO4]

a). Providing development loans

b). Issuing international currency

c). Regulating stock markets

d). Controlling international trade

9. What is an import quota? [U] / [CO4]

a). A tax placed on imported goods b). A government payment to domestic producer

c). A tax ban on all foreign trade d). A legal limit on the quantity of a good that can be imported

10. Why do firms participate in global value chains? [U] / [CO4]

a). To organize production across locations and access efficiencies or capabilities

b). To stop all international trade

c). To eliminate specialization

d). To avoid all markets

[1x10 = 10]

Part B

Short Answer

Answer any **10** questions

Each question carries **3** marks

11. Distinguiish between Gross Barter Terms of Trade and Net Barter Terms of Trade [U] / [CO1]
12. What are the two types of gains from international trade? [K] / [CO1]
13. What are the non-monetary measures adopted to correct BOP disequilibrium? [K] / [CO2]
14. Distinguish between a deficit and a surplus in the BOP. [U] / [CO2]
15. Define Balance of Payments. State its features [K] / [CO2]
16. What is a currency option? [K] / [CO3]
17. Distinguish the roles of commercial banks and central banks in the foreign exchange market. [U] / [CO3]
18. What is the gold standard? [U] / [CO3]
19. Explain the role of demand for foreign exchange in the Balance of Payments Theory. [U] / [CO3]
20. Discuss the concept and major features of economic decoupling. [U] / [CO4]
21. Explain the possibility of retaliation associated with tariff policy. [U] / [CO4]
22. Explain how WTO rules can help reduce barriers to international trade. [A] / [CO4]
23. What is preferential trading area? [U] / [CO4]

[3x10 = 30]

Part C

Short Essay

Answer any **5** questions

Each question carries **6** marks

24.	Explain why a labour-abundant country specializes in labour-intensive goods according to the Heckscher–Ohlin Theory.	[U] / [CO1]
25.	Explain the major "basis of international trade"	[U] / [CO1]
26.	Discuss the role of bank rate policy in correcting BOP disequilibrium.	[U] / [CO2]
27.	Compare fixed and flexible exchange rate systems, highlighting their relative advantages and limitations?	[An] / [CO3]
28.	Explain, with the help of a suitable diagram, how the equilibrium exchange rate is determined in the foreign exchange market.	[A] / [CO3]
29.	Evaluate why migration should be analysed from both sending- and receiving-country perspectives.	[E] / [CO4]
30.	Describe how IMF's financial assistance helps member countries to overcome BOP crises.	[U] / [CO4]

[6x5 = 30]